

Portfolio Fit & Gap Analysis

Mapping the current book to EDEN's all-weather framework and selecting the €5,000 position from the portfolio's needs

PREPARED FOR: EDEN QUANT TEAM FRAMEWORK: IE.EDU/EDEN-FUND/STRATEGY CONFIDENTIAL — INTERNAL USE

Premise. EDEN is a student-run endowment funded by donations earmarked for future scholarships; capital is recycled through the market to fund more scholarships over time. The selection question is therefore not only "which is the best stock" but "which position best serves a long-horizon, capital-protective fund given what it already owns." This note frames the €5,000 single-name decision from portfolio construction, not stock merit alone.

1 The EDEN framework

EDEN runs an all-weather strategy inspired by Ray Dalio, split into two portfolios.

Portfolio	Weight	Management	Role	Holds
Core	60%	Passive (6-mo rebalance)	Risk-aversion / capital protection	Debt (gov/corp, long/short duration) + real assets (gold, real estate, TIPS, commodities)
Learn — Macro	25%	Active	Macro-trend alpha	Equity index funds only (no commodities / leverage / derivatives)
Learn — Stocks	15%	Active	High-risk / high-reward	Single-name pitches, maximum 5 stocks

WHY THIS MATTERS FOR DONOR CAPITAL

Protecting donor capital is a stated fiduciary duty — but that job sits structurally in the **60% Core** (bonds, TIPS, real assets). That is precisely what frees the **15% Stocks sleeve** to take genuine, high-conviction swings: the corpus is protected by the base, not by every single name being "safe." A high-beta pick is on-mandate here.

2 Current portfolio, mapped

Holding	Value	Portfolio	Sub-sleeve	What it is
GLD	€10,000	Core (60%)	Real assets — gold	Gold ETF; an explicit Core real asset
XLU	€7,500	Learn (40%)	Macro (25%)	Utilities sector index ETF
ASML	€5,000	Learn (40%)	Stocks (15%)	Single name — tech / semiconductors
NOVO-B	€5,000	Learn (40%)	Stocks (15%)	Single name — healthcare / pharma
PVH	€7,500	Learn (40%)	Stocks (15%)	Single name — consumer discretionary

STATED ASSUMPTION

The snapshot is a partial / teaching view, not the full fund: the euro weights do not match the 60/25/15 targets (gold is only €10k, far below 60%), and the actual Core debt — long/short government & corporate bonds, TIPS — is not shown. We treat the snapshot as the equity-relevant slice and assume the Core debt ballast exists off-screen.

3 Where the €5,000 goes — and what's "left"

All three candidates are single-name stocks, so the new position lands unambiguously in the **Learn → Stocks sleeve** (the 15%, high-risk/high-reward, max 5). The book currently holds **3 of 5** slots, leaving **two free**. The new money is therefore **not core ballast** and **not a macro index** — it is an active, high-conviction, high-beta single name. High volatility is the point of this sleeve, not a disqualifier. The real selection criterion is which exposure the single-name book is **missing**.

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STOCK SLOTS USED

2

SLOTS FREE

3

SECTORS COVERED

0

ENERGY / INDUSTRIALS

4 The gap analysis

What the existing single names already cover, by sector and by Dalio macro-quadrant:

Holding	Sector	Wins when...	Hurt when...
ASML	Semis / AI capex	Growth ↑ + Inflation ↓ (long-duration tech)	Rates ↑, growth ↓
NOVO-B	Healthcare	Growth ↓ (defensive, inelastic demand)	Pipeline / patent shocks
PVH	Consumer discretionary	Growth ↑	Inflation ↑ (margin + consumer squeeze)
XLU (macro)	Utilities	Growth ↓ + rates ↓ (bond proxy)	Inflation ↑ / rates ↑
GLD (core)	Gold	Inflation ↑ / crisis	Real rates ↑

THE GAP

The single-name book is tilted hard to **"growth-rising, disinflation"** (ASML), padded with defensives (NOVO, XLU) and a gold hedge (GLD). Sector coverage is semis + healthcare + apparel. **There is zero energy / industrials / energy-transition exposure in the active equity book.**

5 The candidates, judged by fit

Orion — the better stock, but redundant

Another semiconductor / edge-AI name sitting directly on top of ASML. Adding it makes the four-name book roughly half semiconductors, with both names in the *same* Dalio quadrant (growth-up, disinflation). It is the cleaner standalone (Sharpe ~1.06, ~67% revenue CAGR, smaller drawdown) — but on a portfolio basis you would be **doubling an existing bet, not diversifying**.

Cleanergy — the weaker stock, but it fills the hole

Energy storage / transition is a sector the active book completely lacks, and it is a coherent extension of a theme the fund *already underwrites passively*: the book holds XLU, and Cleanergy's customers (Duke, NextEra, Dominion) are exactly the regulated utilities inside XLU. XLU is the low-beta, defensive expression of the energy theme; Cleanergy is the high-beta, alpha expression of the **same conviction** — precisely the division of labour the strategy intends (passive defensive in Macro, high-conviction swing in Stocks).

NovaTerra — out on both counts

Weak as a stock (0.3% CAGR over 13.5 years, barely tracking inflation) *and* a poor fit; its growth plan leans on Southeast Asia / Sub-Saharan Africa expansion, which collides with EDEN's emerging-markets ban. Cut it.

Portfolio-first verdict

If the deciding lens is portfolio construction — as requested — **Cleanergy is the better fit**: it diversifies the active book into a missing sector, balances the semis-heavy growth-up tilt, and lets the Stocks sleeve express conviction in a macro theme the fund already holds via XLU. **Orion concentrates** the book despite being the stronger company.

The honest trade-off your advisor will press on:

- **Choosing Cleanergy** = knowingly taking the weaker fundamental name for the better fit — and you must first validate the two red flags (47% gross margin vs. ~13% for real peers; -93% drawdown plus lithium/cobalt dependence). If the margin fails scrutiny, the fit case collapses.
- **Choosing Orion** = the better company but a concentrated semis bet alongside ASML — defensible if the team argues edge-AI is a multi-year secular winner worth overweighting, and that ASML (equipment) and Orion (fabless chips) sit at different points of the value chain.

PITCH FRAMING THAT IS HARD TO ATTACK

"We chose [X] not because it is the best business in isolation, but because the Stocks sleeve already owns ASML's growth-up / disinflation exposure — our job in this sleeve is to add uncorrelated alpha, not to deepen a bet the book already holds." That reasoning is exactly the all-weather logic the fund is built on.

Prepared as supporting analysis for the EDEN Quant Team Assessment. Framework details are summarised from EDEN's published investment-strategy page. The portfolio snapshot is taken from the assessment brief and is treated as a partial/illustrative view. Dalio-quadrant mappings are analytical simplifications for discussion. This document is internal work product for a recruitment exercise and is not investment advice or a recommendation to transact in any security.